

Summer 2026 Fiscal History Research

QuantEcon

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Coaching Staff: George Hall and Thomas Sargent

Section I. Possible Research Topics

Our overarching goal is to learn about US state finances from 1815 to 1860. The documents in Section II frame the period: a surge of state borrowing in the 1830s to finance canals, railroads, and state banks through “taxless finance,” followed by the Panic of 1837, and a debt crisis in the early 1840s in which multiple states defaulted or came close to doing so.

George and Tom wrote the first two documents in Section II about the experiences of Pennsylvania and New York. Ideally, we want create counterpart documents for other US states.

As a starting point, we suggest focusing in depth on one of the states that defaulted during this period:

- Indiana
- Florida (then a territory)
- Mississippi
- Arkansas
- Michigan
- Illinois
- Maryland
- Louisiana

By way of contrast, it would also be illuminating to study individual states that borrowed heavily in the 1830s but nonetheless succeeded in fully servicing their debts—New York and Ohio being the most prominent examples. Understanding what distinguished the survivors from the defaulters—in terms of revenue sources, debt structure, political institutions, and fiscal governance—is central to the research agenda.

By looking across an ensemble of states, we hope to learn how their individual fiscal experiences compared with one another and with the experience of the US federal government over the same period.

Section II. Resources

Document 1 New York State Finances: 1813 to 1860

Authors: George J. Hall and Thomas J. Sargent **File:** [manuscript/new_york_1813_1860.pdf](#)

This working paper studies the fiscal history of New York State from 1813 to 1860, presenting it as a “good” case study of antebellum state finance. New York legislators in the early nineteenth century aspired to finance state government without direct taxation, relying instead on permanent funds derived from land sales and special duties. The state borrowed heavily to build and maintain the Erie Canal and its successor canal system, paid off its debt in the 1820s, and then resumed borrowing in the 1830s to cover ordinary expenditures. In the late 1830s and early 1840s, New York confronted two major fiscal shocks—the bankruptcy of three state-guaranteed railroad companies and the collapse of a state-run bank insurance system—yet managed to avoid defaulting on its obligations, though its bonds traded at a discount during the State Debt Crisis of the early 1840s. Like many other states, New York rewrote its constitution after the crisis. The paper organizes the evidence around a government budget constraint that consolidates the state’s General Account and Canal Account, tracks the stocks of state debt and state funds over time, and examines the connections between New York’s fiscal experience and Hamilton’s 1790 federal debt refunding.

Document 2 Pennsylvania State Finances: 1820 to 1860

Authors: George J. Hall and Thomas J. Sargent **File:** [manuscript/pennsylvania_1820_1860.pdf](#)

This companion working paper studies the fiscal history of Pennsylvania from 1820 to 1860, presenting it as a “bad” case study of antebellum state finance. Pennsylvania borrowed extensively to finance its Main Line of Public Works—a mixed canal-and-railroad system connecting Philadelphia to Pittsburgh—without raising commensurate tax revenues. The state relied on a succession of temporary windfalls: charter fees paid by the Bank of the United States of Pennsylvania in the mid-1830s, federal surplus distributions in 1837, and continued borrowing even as financial conditions deteriorated in 1840. When the economy collapsed after the Panic of 1837, Pennsylvania defaulted on its debt in August 1842—one of nine states (and one territory) to do so in the early 1840s. After the crisis, the Commonwealth ran primary surpluses and returned to a roughly balanced gross budget. The paper uses the same consolidated government budget constraint framework as the companion New York memo to organize revenue, expenditure, debt, and state-asset data from 1820 to 1860.

Document 3 Understanding the Costs of Sovereign Default: American State Debts in the 1840s

Author: William B. English **Journal:** *American Economic Review*, vol. 86, no. 1, March 1996, pp. 259–275. **File:** [Bill_English_AER_1996.pdf](#)

This paper uses cross-sectional variation in the yields on US state government bonds to estimate the market’s implicit cost of sovereign default during the debt crisis of the early 1840s. Nine states and the Florida Territory defaulted between 1841 and 1843 after borrowing heavily to finance canals, railroads, and state banks. English exploits the resulting spread between defaulting and non-defaulting states to identify the reputational and direct costs that markets imposed on governments that suspended debt service. The paper provides careful empirical evidence—using contemporary bond price data from American and British exchanges—on how creditors priced default risk and on

the magnitude of the penalty that default imposed on future borrowing costs. The findings speak directly to the literature on sovereign debt sustainability and to the question of why some states chose to honor their debts while others repudiated them.

Document 4 The Market for American State Government Bonds in Britain and the United States, 1830–43

Authors: Namsuk Kim and John Joseph Wallis **Journal:** *Economic History Review*, vol. 58, no. 4, November 2005, pp. 736–764. **File:** Kim_Wallis_State_Bonds.pdf

This paper examines the transatlantic market for American state government bonds during the borrowing boom of the 1830s and the subsequent default crisis of the early 1840s. American states borrowed an extraordinary amount—from roughly \$26 million in 1820 to over \$200 million by the late 1830s—primarily from British and Dutch investors who were attracted by high yields backed by government guarantees. Kim and Wallis trace the macroeconomic fluctuations shared by the British and American economies between 1837 and 1843, including the financial crises of May 1837, October 1839, and the winter of 1842, and analyze how bond prices on both sides of the Atlantic responded to each shock. The paper asks whether American or British factors were the primary drivers of the crises—the debate over the roles of the Bank of England, Nicholas Biddle, and President Jackson—and shows how closely the two capital markets were linked by trade, finance, and the flow of information. It provides essential background for understanding the origins of the State Debt Crisis and the collapse of investor confidence in American sovereign obligations.

Document 5 The States’ Crisis (Chapter 2 of *America’s First Great Depression*)

Author: Alasdair Roberts **Book:** *America’s First Great Depression: Economic Crisis and Political Disorder after the Panic of 1837*, Cornell University Press, 2012. **File:** The_States_Crisis.pdf

This chapter provides a narrative and political history of the US state debt crisis of 1836–1848, situating it within what Roberts calls “The First Great Depression.” In the 1830s, American states borrowed on an unprecedented scale from European investors—accumulating obligations roughly equal to the combined national debt of Russia, Prussia, and the Netherlands—to finance canals, railroads, and state-owned banks through what economic historians call “taxless finance.” The chapter traces how apprehensions grew as early as 1839, when London bond trader Alexander Trotter warned that states would be unwilling to levy the taxes needed to service their loans. Michigan became the first to default in July 1841; seven other states and the Florida Territory followed within seventeen months. Roberts examines the political collision between the ideal of popular sovereignty and the demands of international financial markets, showing how state governments were caught between angry British lenders and voters who resented the imposition of new taxes on recently won political liberties. The chapter documents the efforts of Barings Bank and Massachusetts Senator Daniel Webster to bolster market confidence, the collapse of those efforts, and the wave of state constitutional conventions that followed the crisis and inscribed tight borrowing constraints into fundamental law.

Document 6 Sovereign Default, Intervention and the Cost of Reputation

Author: Anonymous (Candidate 1019149) **Degree:** Master of Science in Economic and Social History, University of Oxford, Trinity Term 2018. **File:** MSc Economic and Social History - Dissertation - 1019149.pdf

This Oxford dissertation re-examines the role of international merchant banks—above all Baring Brothers and N. M. Rothschild & Sons—in the resolution of the 1840s US state default crisis, drawing on previously unused correspondence from the Baring Archive and Rothschild Archive in London, the Massachusetts Historical Society in Boston, and the National Archives of Canada. Applying the Flandreau–Flores model of reputational hierarchies in early international bond markets, the dissertation argues that the two firms’ interventions were driven by fundamentally different incentives: for Barings, which had long underwritten American state bonds, managed coupon payments, and served as the US federal government’s financial agent, the defaults were a crisis of their own reputation—and they responded with an unparalleled lobbying and financial commitment effort in both Britain and the United States. For Rothschild, by contrast, the crisis was primarily a crisis of investment—their exposure was smaller and their involvement more limited. The dissertation pays particular attention to the crucial states of Pennsylvania and Maryland and to the respective American agents Thomas Ward (Barings) and August Belmont (Rothschild), whose correspondence illuminates the political and financial maneuvers that ultimately produced debt resumption.

Section III. Tools

Please use any AI or Python tools that you think will help you acquire appropriate data, find patterns, or render interpretations. An important complement to such tools will have to be HI—human intelligence—deployed to supervise, criticize, countermand, and discipline contributions from any such electronic co-workers.